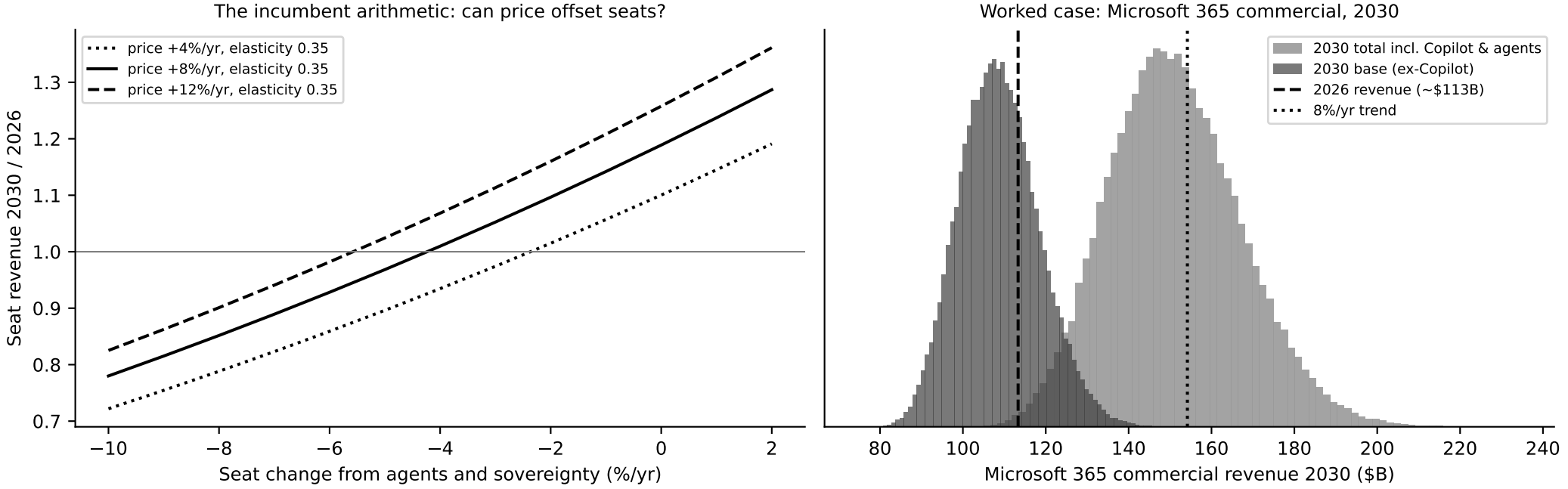
The incumbent arithmetic: can price offset seats?
price +4%/yr, elasticity 0.35
price +8%/yr, elasticity 0.35
price +12%/yr, elasticity 0.35
Seat revenue 2030 / 2026
1.3
1.2
1.1
1.0
0.9
0.8
0.7
−10
−8
−6
−4
−2
0
2
Seat change from agents and sovereignty (%/yr)
Worked case: Microsoft 365 commercial, 2030
2030 total incl. Copilot & agents
2030 base (ex-Copilot)
2026 revenue (~$113B)
8%/yr trend
80
100
120
140
160
180
200
220
240
Microsoft 365 commercial revenue 2030 ($B)